Weekly Ship Recycling Report

19 August - 26 August 2022

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Visit : www.best-oasis.com

Email: bol@bol.ae

Head Office: 3201, Saba Tower 1, Cluster E, Jumeirah Lake Towers, Dubai, U.A.E

Contact: +971 4575 4667

Highlights of the Week

The ship recycling market is gradually gaining momentum following an extended period of inactivity with inquiries coming from the end buyers of India and Bangladesh. While the domestic steel demand is improving in both these regions, the market in Pakistan is at a standstill due to floods that have halted all transportation activities. Although nothing can be predicted with certainty in the current times due to the multitude of factors affecting the world economy on a daily basis, but we believe the offer prices will remain stable and may even strengthen further in the coming weeks due to prevailing scarcity of tonnage being circulated in the recycling market.

The Russia-Ukraine war completes six months this week and it spillover effects have given a serious hit to the European economy. With Euro falling to a two-decade low and UK inflation soaring to a five-decade high, a global recession may start from Europe. The continent is grappling with the worst energy crisis in decades, with spiking costs of gas and electricity driving inflation and threatening to drag economies into recession.

The founder of Huawei has sparked alarm in China warning of economic troubles and a global downturn in a leaked internal memo which was meant for the company's internal staff. “The next decade will be a very painful historical period, as the global economy continues to decline,” Ren Zhengfei said, pointing to the pandemic as well as the impact of the Ukraine war and a “continued blockade” by the US on some Chinese business.

Jay Powell declared the Federal Reserve “must keep at it until the job is done” in his speech today at Jackson Hole where he delivered his most hawkish message to date on the US central bank’s determination to tame soaring inflation by raising interest rates. He predicted painful period for households and businesses, but added that the failure to restore price stability would mean far greater pain. He also highlighted that reducing inflation would probably result in “a sustained period of below-trend growth” and predicted there “will very likely be some softening of labour market conditions”.

Exchange Rates:

USD / INR

This Week	: 79.89
Previous Week	: 79.86
Lost	: 0.03 %

USD / BDT

This Week	: 95.07
Previous Week	: 95.01
Lost	: 0.06 %

USD / PKR

This Week	: 219.50
Previous Week	: 214.98
Lost	: 2.06 %

USD / TL

This Week	: 18.18
Previous Week	: 18.12
Lost	: 0.33 %

India

Uptick in demand for steel

- Steel demand and prices have gained stability in the domestic market leading to an increase in prices being offered by the recyclers of Alang to secure tonnage. With very few units available in the recycling market, the end buyers appear willing to engage in competitive negotiations to secure tonnage.

- The Indian rupee in recent sessions has struggled in the backdrop of a resurgent US dollar. It is currently considered in a vulnerable stage as a potential wave of risk aversion can be triggered if there is an overtightening from US Federal Reserve.

- India for the first time on Wednesday voted against Russia during a "procedural vote" at the United Nations Security Council on Ukraine. So far, New Delhi has abstained at the UN Security Council on Ukraine, much to the annoyance of the Western powers led by the United States.

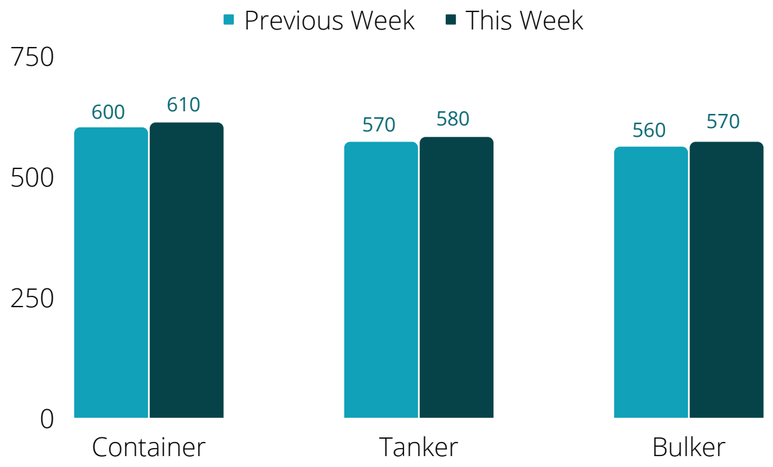
Beaching Dates

25 August to 2 September 2022

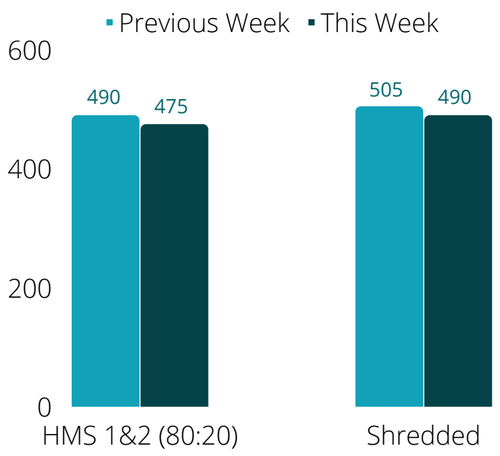
7 September to 15 September 2022

24 September to 2 October 2022

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

Improvement in market sentiments

- The end buyers of Chattogram are gradually gaining confidence to offer competitive prices to secure tonnage as the market is expected to pick up in September which is considered a favourable season for construction activities. With most of the recycling yards running on low or no inventory, the recyclers are actively scouting the market for small tonnages which can be acquired with the ongoing LC restrictions.

- BDT remained stable throughout the last week due to the various actions of the central bank. Currently, import Letters of Credit are settled between BDT 105-106/USD whereas banks are encashing export payments dollars of exporters at BDT 102-103/USD.

- Government offices and banks will shorten their workdays by an hour and schools will close an additional day each week to reduce electricity usage amid concerns over rising fuel prices and the impact of the Ukraine war.

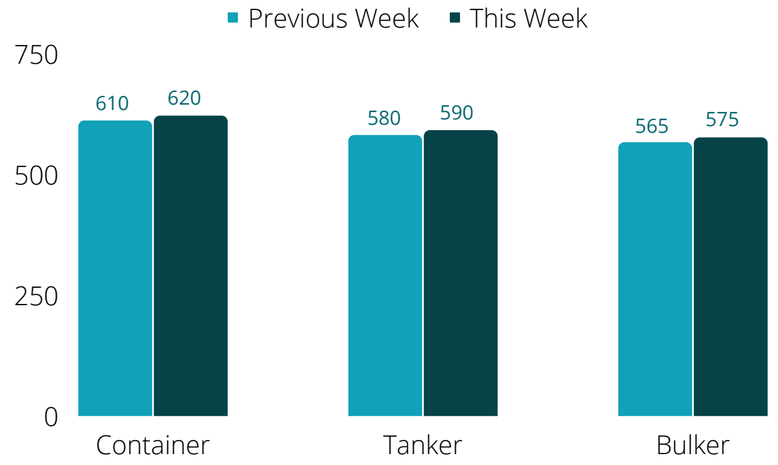
Beaching Dates

27 August to 30 August 2022

9 September to 12 September 2022

25 September to 28 September 2022

Price for Recycling Ships in Bangladesh



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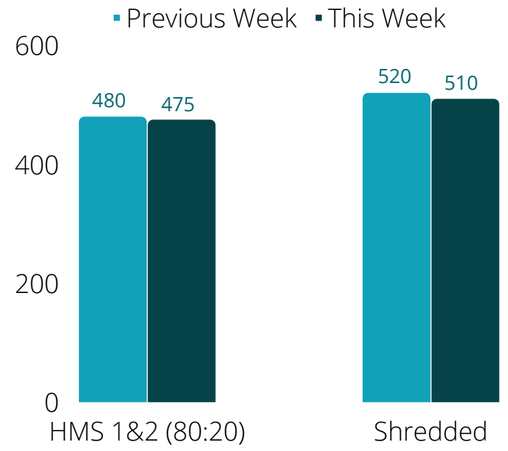


Pakistan

Floods wreak havoc across the country

- The Pakistan government has declared a national emergency following a series of rain-induced floods that have affected over 33 million people and killed more than 937 people. In Gadani, conditions are extremely quiet due to heavy rainfall. Currently, transportation is at a standstill as roads are damaged, cutting off communication and access to the roads. Considering the extent of the disruption, it seems that things will take some time to normalize.

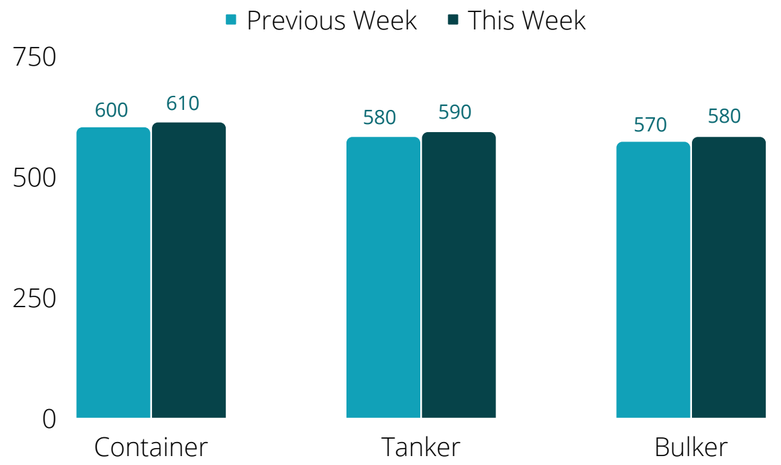
- The imported scrap market slightly softened by USD 5/MT and remained largely quiet throughout the week as continuous volatility in currency exchange rates and subdued demand kept buyers cautious.

- Saudi Arabia has announced that it will invest USD 1 Billion in Pakistan to help the country with its current economic difficulties as it faces a balance of payments crisis with foreign reserves having dropped as low as USD 7.8 Billion, barely enough for more than a month of imports. Additionally, Qatar has announced an investment of USD 3 Billion in Pakistan by leasing airports, setting up fuel terminals at seaports, acquiring LNG plants, and investing in solar parks.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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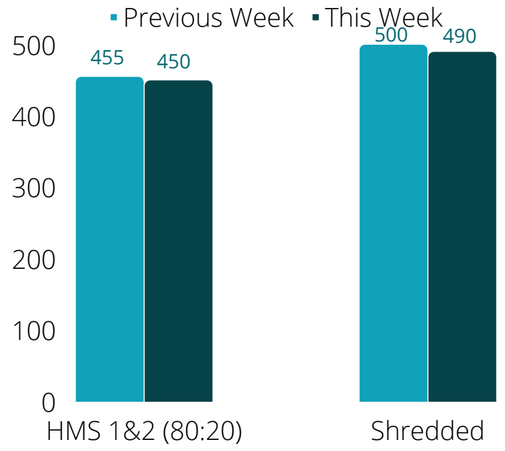


Türkiye

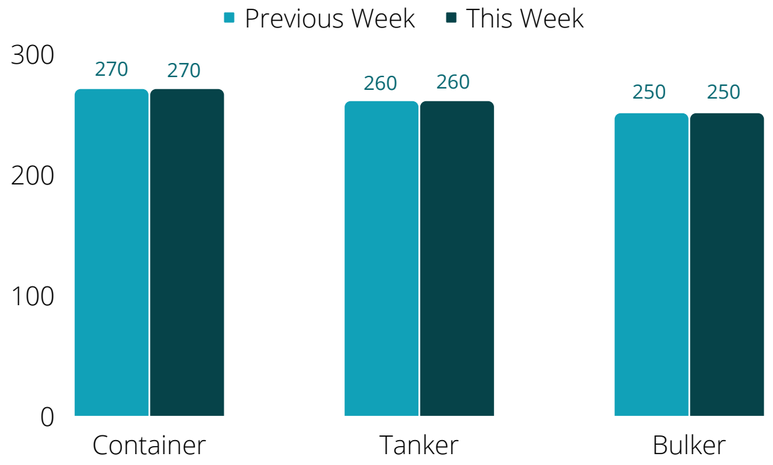
Market yet to gain momentum

- Imported scrap offers strengthened by about USD 5/MT in recently-concluded deals due to scarcity of material and high offers being accepted by the end buyers.
- US warns of sanctions against Turkish companies over close ties and increasing business activities with sanctioned Russian individuals and organizations.
- Mills kept rebar prices stable as they have low margins and cannot reduce prices despite dull demand.
- The Central Bank of the Republic of Türkiye has imposed penalties on high lending rates, especially on charging risk premium for riskier loans. This move is not welcomed by economists as they feel it will interfere in safe pricing of risky loans and add further pressure on the lira.

Beaching Dates

Throughout the month

Price for Recycling Ships in Türkiye



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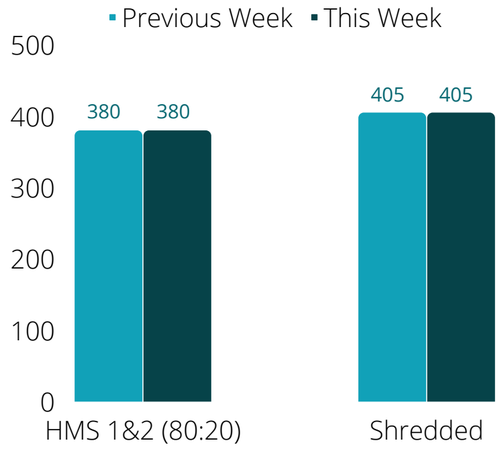
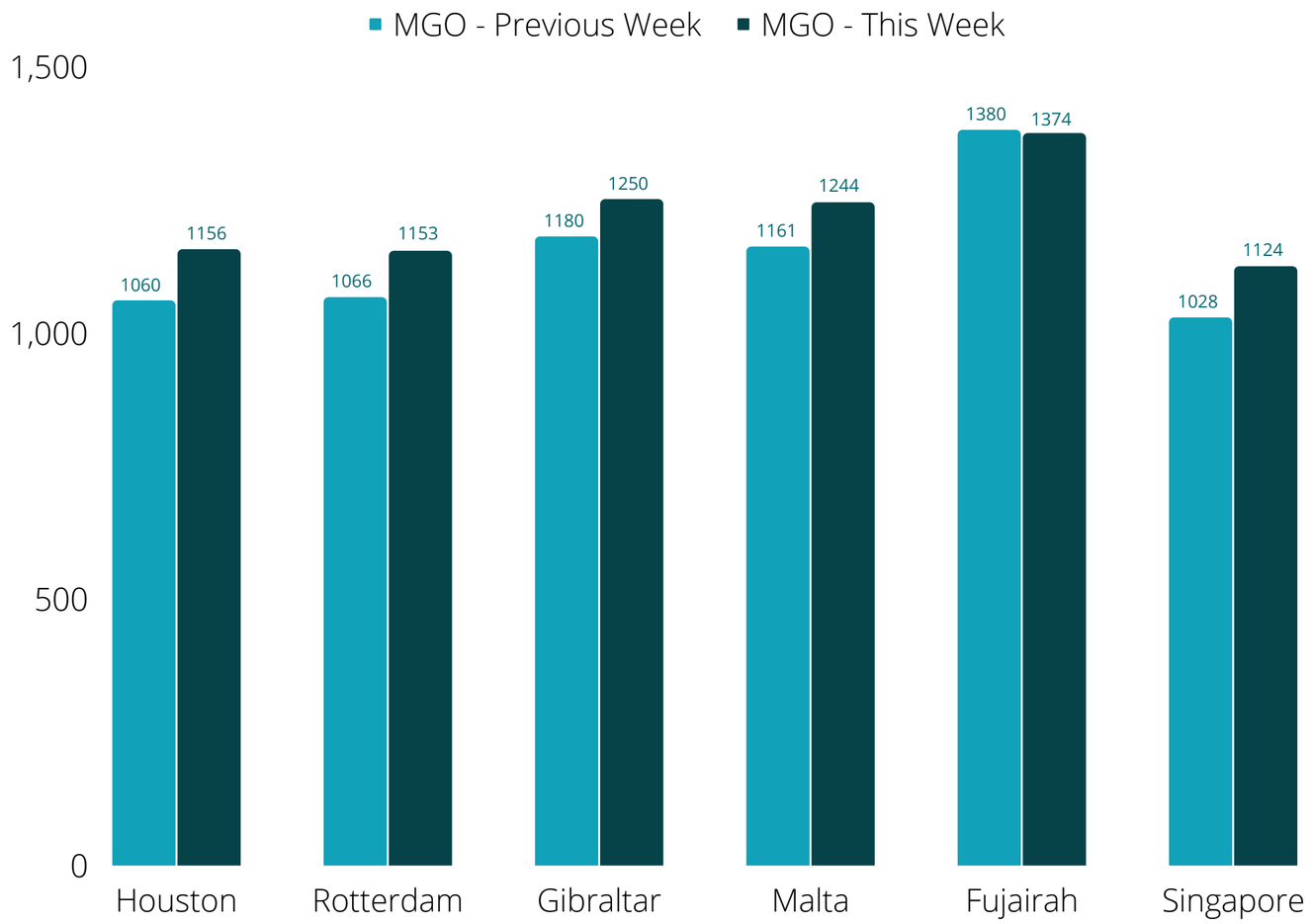


Bunker Prices at Port



Brent Crude

This Week	:	99.83
Previous Week	:	95.85
Movement	:	+3.98 %

WTI Crude

This Week	:	92.88
Previous Week	:	89.79
Movement	:	+3.33%

- Oil rallied earlier this week after Saudi Arabia flagged potential cuts to OPEC+ output to stabilize a volatile market, a move supported by other cartel members including Iraq and Kuwait, but started to ease from Thursday onwards as investors braced for the possible return of sanctioned Iranian oil exports to the market and on worries that rising US interest rates would weaken fuel demand.

List of Vessels Sold this Week

Vessel Name	Type of Vessel	Year of Build	Country of Build	LDT	Term of Sale	Location of Delivery	Sale Price/LDT (USD)
QUEEN MARY	ROPAX	1998	JAPAN	10,714.00	AS-IS	KOREA	UNDISCLOSED

Contact Us

Germany

Mr. Gerd Leopold
S&P Consultant

Phone: +49 417 188 0204
Mobile: +49 172 370 1021

Greece

Mr. Yiannis Kourkoulis
Vice President - Purchase

Phone: +30 210 0101 450
Mobile: +30 694 258 3977

Ms. Irini Mylona
Commerical Executive

Phone: +30 210 0101 450
Mobile: +30 694 484 3136

U.A.E.

Mr. Naren Sampath
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 55 836 9147

Mr. Asif Ali
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 58 645 0162

China

Capt. Steven Xu
Company Representative

Mobile: +86 136 6600 0719

Japan

Mr. T Ishii
Company Representative

Work: +81 354 522 405
Mobile: +81 901 536 1497

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